APEX FINANCIAL DYNAMICS CORP. (NYSE: APEX)

FIRST QUARTER 2026 FINANCIAL RESULTS & INVESTOR BRIEFING

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1. EXECUTIVE SUMMARY & KEY FINANCIAL HIGHLIGHTS

Apex Financial Dynamics Corp. ('Apex' or the 'Company') today announced record financial performance for the first quarter ended March 31, 2026. Consolidated total revenue for Q1 2026 grew 18.4% year-over-year to $612.4 million, compared to $517.2 million in Q1 2025, driven by accelerating enterprise adoption of Apex Cloud Intelligence.

Key Highlights for Q1 2026:
- Total Revenue: $612.4 million, beating analyst consensus expectations of $595.0 million by 2.9%.
- Annual Recurring Revenue (ARR): Reached $1.84 billion, representing year-over-year growth of 24.2%.
- GAAP Gross Margin: 74.2%, expanding 180 basis points from 72.4% in the prior year period.
- Non-GAAP Operating Income: $165.3 million (27.0% operating margin), compared to $124.1 million (24.0%) in Q1 2025.
- Diluted Earnings Per Share (EPS): GAAP diluted EPS was $1.12, and Non-GAAP diluted EPS reached $1.44 vs $1.15 in Q1 2025.
- Operating Cash Flow: $198.6 million, up 31.0% YoY; Free Cash Flow was $174.2 million (28.4% FCF margin).

2. BUSINESS SEGMENT PERFORMANCE

2.1 Enterprise Cloud Division: Generated $440.8 million (72.0% of total revenue), reflecting 26.5% YoY expansion. The Company added 142 new customers with ARR greater than $100,000, bringing total enterprise customers to 2,890.
2.2 Financial Analytics & Risk Suite: Revenue increased 7.1% YoY to $128.5 million. Net revenue retention rate (NRR) stood at 116%, indicating robust customer expansion.
2.3 Professional Deployment Services: Contributed $43.1 million in revenue with a balanced gross margin of 21.0%.

3. CAPITAL ALLOCATION, BALANCE SHEET, AND LIQUIDITY

3.1 Cash and Equivalents: Apex concluded the quarter with $1.42 billion in cash, cash equivalents, and short-term marketable securities, providing exceptional balance sheet flexibility.
3.2 Debt Obligations: Total outstanding senior convertible notes stood at $450.0 million maturing in November 2028, with no debt maturities occurring within the next 24 months.
3.3 Share Repurchase Program: During Q1 2026, the Company repurchased 1.8 million shares of Class A common stock for a total expenditure of $75.0 million. The Board of Directors authorized an additional $250.0 million expansion to the share buyback program.

4. FULL YEAR 2026 OUTLOOK & FORWARD GUIDANCE

Based on first-quarter strength and high recurring revenue visibility, Apex is raising full-year 2026 guidance:
- FY 2026 Total Revenue: Expected in the range of $2.58 billion to $2.62 billion, representing 17% to 19% YoY growth.
- Non-GAAP Operating Margin: Projected between 27.5% and 28.5%.
- Non-GAAP Diluted EPS: Projected between $6.15 and $6.30 per share.
- Capital Expenditures (CapEx): Projected at $110 million to $125 million, primarily supporting AI GPU cluster deployment.

5. KEY AUDIT RISK FACTORS & MACROECONOMIC HEADWINDS

5.1 Enterprise Procurement Scrutiny: Prolonged enterprise decision-making cycles and multi-level budget sign-offs for deals exceeding $1.0 million ARR may impact quarterly timing of large bookings.
5.2 Foreign Exchange Exposure: Approximately 28% of quarterly revenue originated outside North America. Continued strengthening of the US Dollar could impose a 150 to 200 basis point headwind on reported international growth rates.
5.3 AI Infrastructure Cost Inflation: Rising costs of specialized cloud computing clusters and high-bandwidth interconnects could compress cloud gross margins if usage outpaces contractual tier limits.